

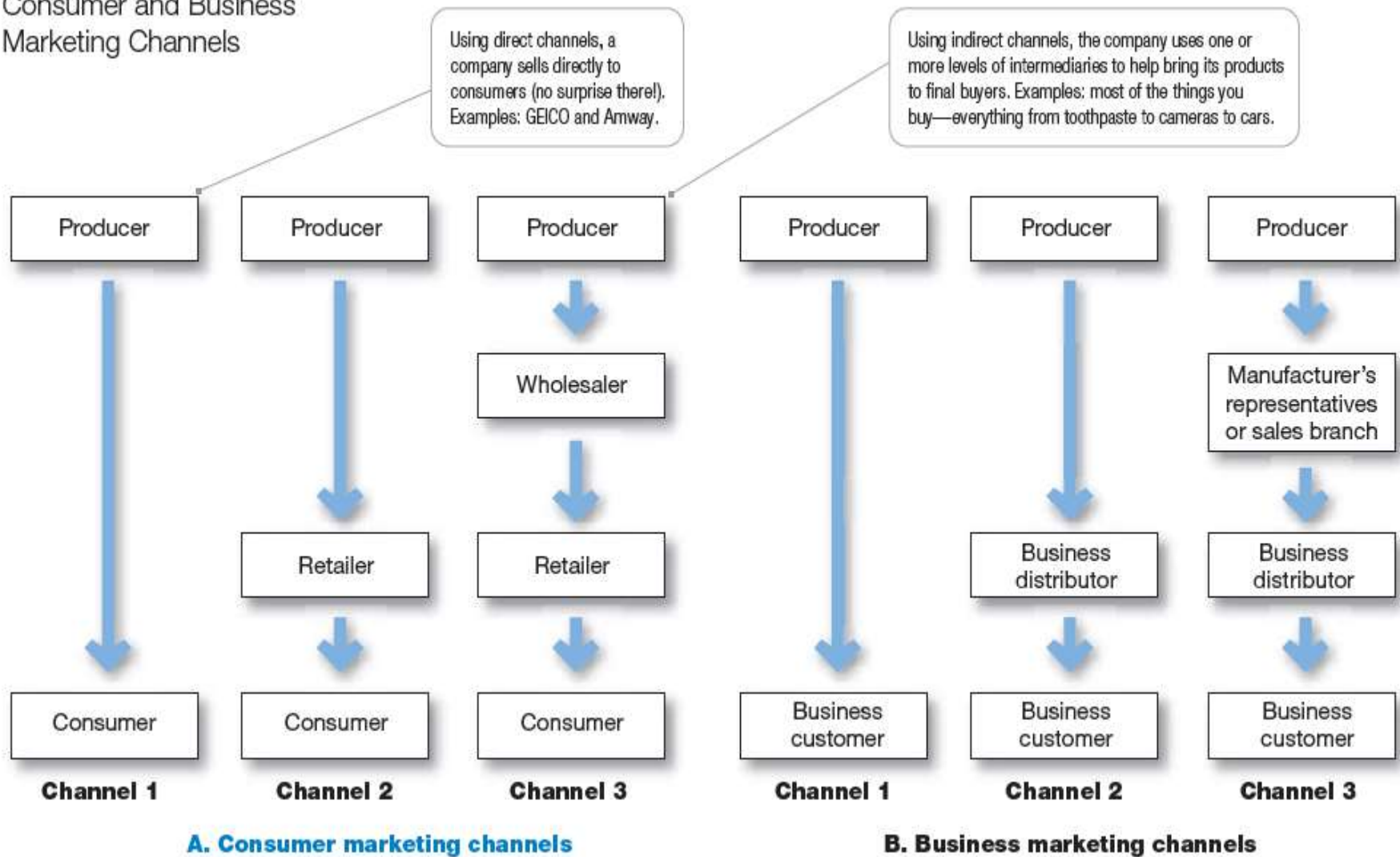
What are Marketing Channels?

- Marketing Channels (Distribution Channels) are a set of interdependent organizations that help make a product or service available for use or consumption.
- Example: Pepsi's distribution includes bottlers, retailers, and food service providers.

Value Delivery Network

- A Value Delivery Network is composed of the company, suppliers, distributors, and customers working together to improve performance.
- Example: Uber's network includes drivers, app developers, customer support, and users.

● FIGURE | 12.2
Consumer and Business
Marketing Channels



Channel Behavior & Vertical Marketing Systems

- Channel Conflict: Disagreements among channel members.
- Vertical Marketing System (VMS): Unified system with three types:
 - • Corporate
 - • Contractual
 - • Administered
- Example: Apple's retail strategy combines corporate and administered VMS.

Producer



Wholesaler

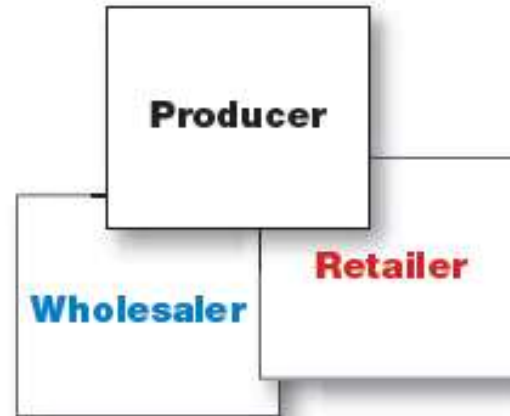


Retailer



Consumer

**Conventional
marketing
channel**



Consumer

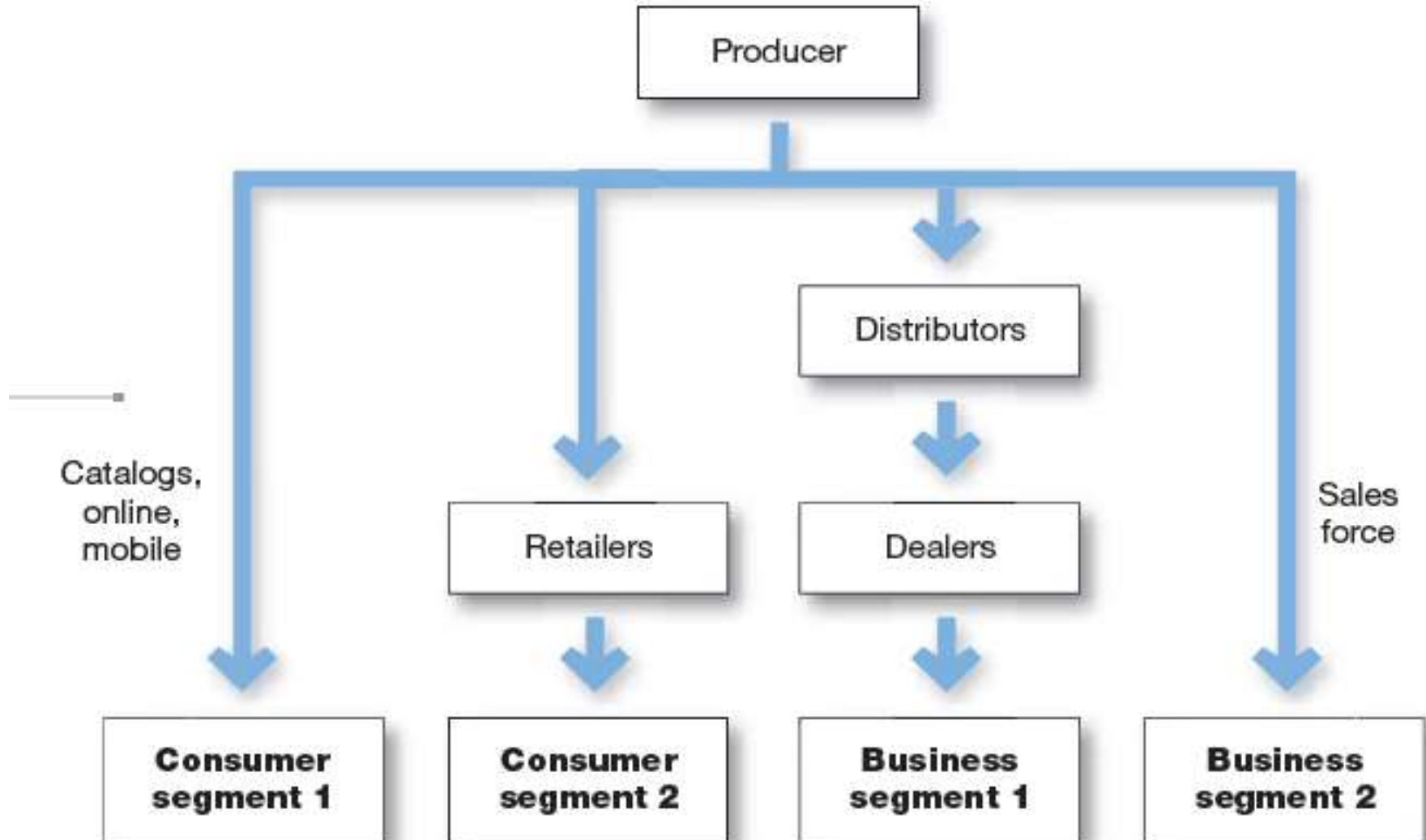
**Vertical
marketing
system**

Vertical marketing system—here's another fancy term for a simple concept. It's simply a channel in which members at different levels (hence, vertical) work together in a unified way (hence, system) to accomplish the work of the channel.

Multichannel & Hybrid Distribution Systems

- Multichannel Distribution: A firm uses more than one channel to reach customers.
- Hybrid Systems: A combination of direct and indirect channels.
- Example: Nike sells through own stores, retailers, and online platforms.

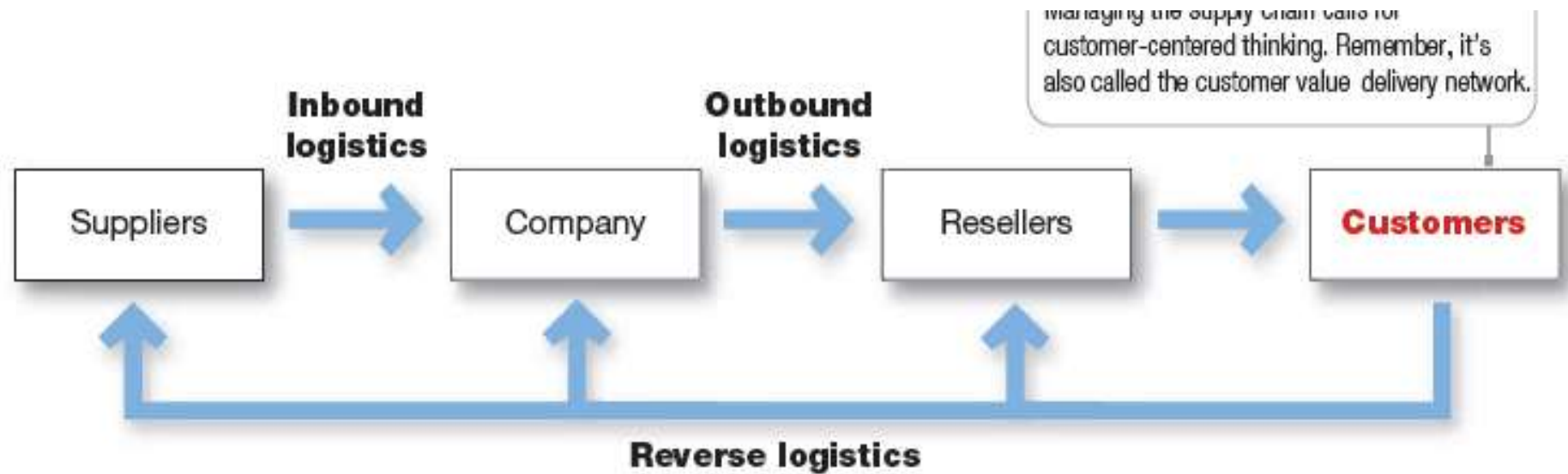
Hybrid horizontal DS



Marketing Logistics & Supply Chain Management

- Logistics involves planning, implementing, and controlling the physical flow of goods.
- Goals: Right product, at the right place, time, and cost.
- Example: Amazon's logistics network ensures 1-day delivery via integrated fulfillment centers.

Supply Chain Management



Retailing Overview

- Retailing includes all activities involved in selling goods/services directly to consumers.
- Types: Specialty stores, supermarkets, convenience stores, online retailers.
- Example: Walmart (Mass merchandiser), Amazon (E-retailer).

Retailer Marketing Decisions

- Key Decisions:
 - • Segmentation & Targeting
 - • Differentiation & Positioning
 - • Product Assortment & Services
 - • Pricing, Promotion, and Placement
- Example: IKEA positions itself as affordable and design-oriented.

Retailing Trends & Technologies

- Trends:
 - • Omni-channel retailing
 - • Growth in mobile and social media
 - • Rise of mega-retailers
 - • Green and ethical retailing
- Example: Zara integrates mobile shopping with in-store pickup and real-time inventory.

● **Table 13.2 | Major Types of Retail Organizations**

Type	Description	Examples
Corporate chain	Two or more outlets that are commonly owned and controlled. Corporate chains appear in all types of retailing but they are strongest in department stores, discount stores, food stores, drugstores, and restaurants.	Macy's (department stores), Target (discount stores), Kroger (grocery stores), CVS (drugstores)
Voluntary chain	Wholesaler-sponsored group of independent retailers engaged in group buying and merchandising.	Independent Grocers Alliance (IGA), Western Auto (auto supply), True Value (hardware)
Retailer cooperative	Group of independent retailers who jointly establish a central buying organization and conduct joint promotion efforts.	Associated Grocers (groceries), Ace Hardware (hardware)
Franchise organization	Contractual association between a franchisor (a manufacturer, wholesaler, or service organization) and franchisees (independent businesspeople who buy the right to own and operate one or more units in the franchise system).	McDonald's, Subway, Pizza Hut, Jiffy Lube, Meineke Mufflers, 7-Eleven

Wholesaling Overview

- Wholesaling involves selling to those buying for resale or business use.
- Types:
 - • Merchant Wholesalers
 - • Brokers & Agents
 - • Manufacturers' Sales Branches
- Example: Metro Cash & Carry acts as both wholesaler and retailer in South Asia.